



Model Risk Committee

Terms of Reference

MKM Research Labs

Version 1.0 — 16-February-2026

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1 Introduction

This document defines the Terms of Reference (ToR) for the Model Risk Committee (MRC) of MKM Research Labs. The MRC is the principal governance body responsible for overseeing the model risk management framework as described in the *Handbook of Model Risk Management for Vendors* (Kelly, Mattimore 2025).

The Terms of Reference establish the committee's authority, responsibilities, membership, and operating procedures. They are reviewed annually and updated as required to reflect changes in the regulatory environment, organisational structure, or model landscape.

2 Purpose and Mandate

The Model Risk Committee is established to:

1. Provide independent oversight of all models used across the platform, from development through to retirement.
2. Ensure that model risk is identified, assessed, monitored, and mitigated in accordance with the governance framework.
3. Approve the deployment of new models and material changes to existing models into production.
4. Set and enforce model risk appetite, tiering standards, and validation requirements.
5. Review model performance, limitations, and remediation actions on a regular cycle.
6. Ensure compliance with regulatory expectations, including SS1/23 (PRA), SR 11-7 (Federal Reserve), and the EBA Guidelines on model risk management.

3 Authority

The MRC derives its authority from the Board of Directors and the Chief Risk Officer. The committee has the authority to:

- Approve or reject models for production deployment.
- Impose conditions, limitations, or restrictions on model usage.
- Require remediation actions and set deadlines for completion.
- Escalate material model risk issues to the Board or relevant regulatory bodies.
- Commission independent model validation reviews.
- Approve changes to model risk policies, standards, and procedures.
- Request any information, documentation, or analysis from model owners and development teams.

4 Membership

4.1 Standing Members

Name	Role	Committee Role
Johnny Mattimore	Managing Director	Chair
David K Kelly	Chief Science Officer	Model Owner

4.2 Quorum

A quorum shall consist of the Chair (or Deputy Chair) and at least one additional standing member. Decisions require a simple majority of those present. Where the committee is split, the Chair holds the casting vote.

4.3 Attendees and Invitees

The following may attend MRC meetings by invitation:

- Model developers and quantitative analysts (for model presentations)
- Independent validators (internal or external)
- Internal audit representatives
- External regulators or auditors (as observers)
- Technology and infrastructure leads (for implementation matters)

5 Responsibilities

5.1 Model Lifecycle Oversight

The MRC is responsible for governance at each stage of the model lifecycle:

Stage	MRC Responsibility
Development	Review model design, methodology selection, and development standards. Approve progression to validation.
Validation	Commission independent validation. Review validation findings and determine whether conditions are required for approval.
Production	Grant production approval (with or without conditions). Monitor ongoing performance and trigger periodic reviews.
Retirement	Approve model decommissioning. Ensure replacement models are validated before transition.

5.2 Model Risk Assessment

- Maintain the model inventory, ensuring all models are registered, tiered, and assigned owners.
- Apply the tiering matrix (Materiality × Complexity) as defined in Chapter 8 of the Handbook to determine governance intensity.
- Assign and review RAG ratings for each model.
- Monitor remediation actions and track open items to closure.

5.3 Validation Standards

- Define validation scope and depth requirements by model tier.
- Review and approve validation reports.
- Ensure validators are independent from model development.
- Set standards for backtesting, benchmarking, and sensitivity analysis.

5.4 Documentation Standards

The MRC shall ensure that all models maintain documentation to the standard required by the Handbook, including:

- Model purpose and scope
- Mathematical framework and methodology
- Input parameters and calibration (per the Parameter Inventory)
- Implementation details and source code references
- Sensitivity analysis results
- Validation and backtesting results
- Known limitations and assumptions
- Change history and version control

6 Meeting Frequency and Procedures

6.1 Meeting Schedule

Meeting Type	Frequency and Purpose
Regular Meeting	Quarterly. Full review of model inventory, risk dashboard, remediation tracker, and upcoming reviews.

Meeting Type	Frequency and Purpose
Approval Meeting	As required. Convened to approve new models or material changes for production deployment.
Extraordinary Meeting	As required. Convened for urgent matters such as model failures, material findings, or regulatory requests.
Annual Review	Annual. Comprehensive review of the model risk framework, policies, tiering matrix, and these Terms of Reference.

6.2 Agenda and Papers

- The agenda shall be circulated at least 5 business days before each meeting.
- Supporting papers (model documentation, validation reports, risk dashboards) shall be circulated at least 3 business days before.
- The Model Risk Dashboard (as implemented in the governance platform) shall be presented at each regular meeting.

6.3 Minutes and Records

- Minutes shall be recorded for all meetings and approved at the following meeting.
- Decisions, action items, and conditions shall be logged in the governance audit trail.
- All MRC decisions are recorded with full audit trail (timestamp, user, rationale) in the platform’s governance module.

7 Model Tiering Framework

The MRC applies the tiering matrix from Chapter 8 (Proportionality) of the Handbook. Governance intensity is proportional to model tier:

Tier	Risk Level	Governance Requirements
Tier 1	Maximum	Full independent validation, quarterly MRC review, annual recertification, mandatory benchmarking.
Tier 2	Substantial	Independent validation, semi-annual MRC review, annual recertification.
Tier 3	Moderate	Peer review, annual MRC review, biennial recertification.

Tier	Risk Level	Governance Requirements
Tier 4	Minimal	Self-assessment, annual MRC notification, triennial recertification.

The current model inventory contains models tiered as follows:

	Tier 1	Tier 2	Tier 3	Tier 4
Count	2	3	3	0

8 Escalation and Reporting

8.1 Escalation Triggers

The following events require immediate escalation to the Chair:

- A Tier 1 or Tier 2 model fails validation or backtesting.
- A model produces outputs that materially differ from expectations or benchmarks.
- A regulatory inquiry or finding relates to model risk.
- A material limitation or assumption is found to be violated.
- A remediation action exceeds its deadline by more than 30 days.

8.2 Board Reporting

The MRC Chair shall provide a quarterly summary to the Board covering:

- Overall model risk posture (aggregate RAG distribution).
- Key model approvals, rejections, and conditional approvals.
- Open remediation items and overdue reviews.
- Regulatory developments affecting model governance.

9 Review of Terms of Reference

These Terms of Reference shall be reviewed annually by the MRC and approved by the Board. Material changes to the ToR require Board approval. Minor administrative updates may be approved by the MRC Chair.

Next scheduled review: February 2027

10 Approval

Approved by:

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Johnny Mattimore

Chair, Model Risk Committee

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David K Kelly

Model Owner, Chief Science Officer

Date:

16-February-2026

11 Document History

Date	Version	Description	Author
16-February-2026	1.0	Initial Terms of Reference	David K Kelly